

Earnings per Share

The earnings per share (EPS) ratio indicates the earning of a common share in a year. This ratio enables investors to actually quantify the income earned by a share, and to determine whether it is reasonably priced. The ratio is arrived at by dividing the income attributable to common shareholders by the weighted average of common shares:

$$\text{Earnings per share} = \frac{\text{Income attributable to common shareholders}}{\text{Weighted average number of common shares}}$$

Illustration

In 2003, the earnings after tax of Range View Tea Estates was Rs. 5,00,000. Between 1 January 2010 and 30 June 2010 the company had 200,000 shares of Rs. 10 each outstanding. On 1 July 2010, the company issued an additional 100,000 shares.

The earnings per share of Range View would be:

$$\frac{500,000}{[200,000 \times 0.5 + (300,000 \times 0.5)]} = \text{Rs. } 2$$

In countries including India where employees are given stock options, investors check a company's fully diluted earnings per share. This is the earnings per share of a company after all share options, warrants and convertible securities outstanding at the end of the accounting period are exchanged for shares.

Many investors also value a share as a multiple of the earnings of the company. If the earning per share is Rs. 5 and a yield of 10% is considered reasonable, the share is priced at Rs. 50.